



“We make almost everything that we sell and the approach has been to continuously invest in manufacturing. The principle is to do it ahead of demand”

K.V. SUBRAMANIAM
PRESIDENT, RELIANCE
LIFE SCIENCES



“India needs three to five big examples of out-licensing to bring a certain level of confidence. The number of clinical trials is slowly increasing and that is a positive”

UTKARSH PALNITKAR
INDEPENDENT LIFE SCIENCES
CONSULTANT

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The company has a portfolio of 43 products (30 more in the pipeline, all of them niche) across segments, which are prescribed by specialists and super-specialists. They are exported to over 50 countries (making up 38 per cent of revenues)—including highly regulated markets like the US and Europe, primarily for small molecules. “Our approach has been to develop products and take it wherever there is a market, as opposed to making it specifically for, say, oncology, cardiology and nephrology.”

It’s not as if this ability to scale came overnight. Ranade says for over eight to 10 years the company grappled with getting its products

right. “We would ask ourselves if we could develop it well. Now, we are confident about the manufacturing and controls aspects. You must be open and flexible to make improvements as you go.”

A FEW BIG PLAYERS

Those patient efforts are poised to help the company as the industry it is in looks to be at the cusp of a growth spurt. Consider these numbers: Globally, per research studies, pharmaceuticals is a \$1.5-trillion market and growing by 4 per cent, while biopharmaceuticals is a \$120-billion market, but growing twice as fast as pharmaceuticals. The Indian biopharmaceuticals market is a

fraction of that at \$300 million but growing at 25 per cent. And there are serious entry barriers at play here. “Biosimilars with extensive characterisation take time [to produce]. The manufacture of plasma proteins involves know-how and that is the reason that the industry globally is an oligopoly with 11-12 players,” explains Subramaniam.

The uniqueness of the RLS model is that it has chosen to diversify across segments, though that means it has to contend with rivals. For instance, in biosimilars, there is Biocon (though RLS does not make insulin); Intas for plasma proteins; Natco and Dr. Reddy’s and others in small molecules; and, many in the sphere of diagnostics, a space that the company has recently entered.

“There are a few companies in gene therapy. In the case of Re-teplase, an even smaller number since it is difficult to manufacture,” Subramaniam tells *BT*. Besides, it is equally important to make the products affordable. Take gene therapy for instance. The pricing in the western world is between \$0.5 million to as much as \$3-4 million. “We want to bring down costs substantially and are working aggressively to deliver gene therapies in a very cost-competitive manner.”

But when companies get the basics right, there is immense potential here, per experts.

Utkarsh Palnitkar, an independent life sciences consultant, says the future is bright given India’s population. “Inevitably, the pace of activity on life sciences too will pick up. What is needed is the incentive to invest large amounts in R&D (research and development),” he says. The challenge is the high cost matched with the confidence that it will generate revenue. “India needs